Revenue, cost, and profit

Global Economics

Learning objective

Distinguish revenue from cost and use both to calculate profit.

How much did the stall earn after costs?

In this example, a stall takes in 90 thousand COP from sales and spends 60 thousand COP in total. Which amount is revenue, and how much is left after costs?

Revenue **Total cost**

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$$\text{Profit (thousand COP)} = 90 - 60 = 30$$

What connects the three amounts?

$$\text{Profit} = \text{Revenue} - \text{Total cost}$$

Express all three amounts in the same units for the same period.